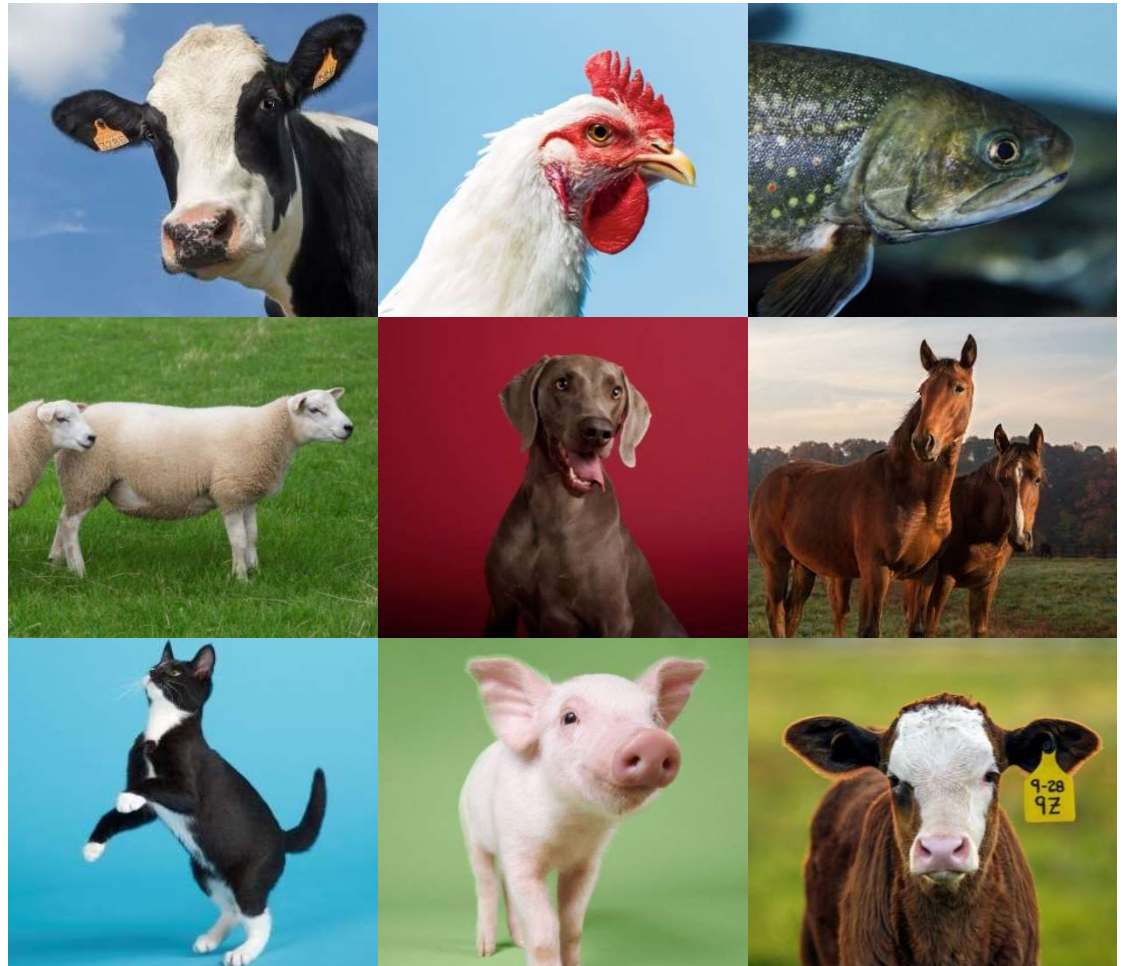


SECOND QUARTER 2020 FINANCIAL RESULTS

August 6, 2020



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FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, future guidance, future operating models, expectations regarding products, product approvals or products under development, expected timing of product launches, the impact of the coronavirus (COVID-19) pandemic on our business, suppliers, customers and employees, expectations regarding the performance of acquired companies and our ability to integrate new businesses, expectations regarding the financial impact of acquisitions, future use of cash and dividend payments, tax rate and tax regimes, changes in the tax regimes and laws in other jurisdictions, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our most recent Annual Report on Form 10-K, including in the sections thereof captioned "Forward-Looking Statements and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. Such risks and uncertainties may be amplified by the coronavirus (COVID-19) pandemic and its impact on the global economy and our business. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income, adjusted diluted earnings per share, adjusted operating expenses, adjusted gross margin, and operational results (which excludes the impact of foreign exchange) to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by U.S. generally accepted accounting principles (GAAP), such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

KRISTIN PECK

CHIEF EXECUTIVE OFFICER

KEY TAKEAWAYS

SOLID Q2 PERFORMANCE DESPITE COVID-19 PANDEMIC

- Generated 4% operational¹ revenue growth and 4% operational¹ increase in adjusted net income² despite unfavorable market conditions as a result of COVID-19 pandemic
- Companion animal product sales generate another strong quarter with 13% operational revenue growth driven by new parasiticides and key dermatology products
- Innovation in companion animal globally and diversity in international livestock mitigate challenges across U.S. livestock

RE-AFFIRMS SIMPARICA TRIO REVENUE RANGE OF ~\$100M to ~\$125M

- Encouraging Simparica Trio[®] adoption rates in clinics, in addition to less than anticipated cannibalization of Simparica[®]

RAISES AND NARROWS GUIDANCE RANGE FOR 2020

- Increased range of full year 2020 estimates for revenue and adjusted net income
- Updated guidance reflects better than expected Q2 results, with our view that improving conditions within companion animal market will offset challenges in U.S. livestock market going forward
- Strong liquidity position with \$3.4 billion of cash and cash equivalents

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Adjusted net income (a non-GAAP financial measure) is defined as reported GAAP net income, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

GLENN DAVID CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	Second Quarter		
	2020*	2019*	Change
Revenue	\$1,548	\$1,547	-
Reported Net Income	377	371	2%
Reported Diluted Earnings Per Share	\$0.79	\$0.77	3%
Adjusted Net Income ¹	427	436	(2)%
Adjusted Diluted Earnings Per Share ^{1,2}	\$0.89	\$0.90	(1)%

* Millions of dollars, except per share data

¹Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

²Adjusted diluted earnings per share decline of 1% includes 7% unfavorable foreign exchange impact, and operational growth of 6%.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Second Quarter				
	2020*	2019*	Change	Foreign Exchange	Operational ¹
Revenue	\$1,548	\$1,547	-	(4)%	4%
Adjusted Cost of Sales ²	448	457	(2)%	(2)%	-
<i>as a percent of revenue³</i>	28.9%	29.5%	NA	NA	NA
Adjusted SG&A Expenses ²	372	388	(4)%	(3)%	(1)%
Adjusted R&D Expenses ²	110	110	-	(1)%	1%
Adjusted Operating Expenses ⁴	489	503	(3)%	(3)%	-
Effective Tax Rate on Adjusted Income ²	22.3%	19.0%	NA	NA	NA
Adjusted Net Income ²	427	436	(2)%	(6)%	4%

* Millions of dollars

NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Adjusted net income and its components (non-GAAP financial measures) are defined as reported GAAP net income and its components, excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted tax expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

³Adjusted gross margin (a non-GAAP financial measure) was 71.1% in the second quarter of 2020, and 70.5% in the second quarter of 2019.

⁴Adjusted operating expenses (a non-GAAP financial measure) of \$489 million in the second quarter of 2020, and \$503 million in the second quarter of 2019 include adjusted amortization of intangible assets of \$7 million in Q2 2020 and \$5 million in Q2 2019.

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US SEGMENT PERFORMANCE

	Second Quarter				
	2020*	2019*	Change	Foreign Exchange	Operational ¹
Revenue	\$823	\$780	6%	-	6%
Companion Animal	594	500	19%	-	19%
Livestock	229	280	(18)%	-	(18)%
Cost of Sales	154	158	(3)%	-	(3)%
Gross Profit	669	622	8%	-	8%
<i>Gross Margin</i>	81.3%	79.7%	NA	NA	NA
Operating Expenses	136	127	7%	-	7%
Other (Income)/Deductions	3	-	**	**	**
Earnings ²	530	495	7%	-	7%

* Millions of dollars, NA – Not applicable, **Calculation not meaningful

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Defined as income before provision for taxes on income.



INTERNATIONAL SEGMENT PERFORMANCE

	Second Quarter				
	2020*	2019*	Change	Foreign Exchange	Operational ¹
Revenue	\$708	\$742	(5)%	(8%)	3%
Companion Animal	288	298	(3)%	(5%)	2%
Livestock	420	444	(5)%	(9%)	4%
Cost of Sales	228	218	5%	(5%)	10%
Gross Profit	480	524	(8)%	(9%)	1%
<i>Gross Margin</i>	67.8%	70.6%	NA	NA	NA
Operating Expenses	117	146	(20)%	(8)%	(12%)
Other (Income)/Deductions	1	-	**	**	**
Earnings ²	362	378	(4)%	(9)%	5%

* Millions of dollars, NA – Not applicable, **Calculation not meaningful

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Defined as income before provision for taxes on income.



INTERNATIONAL MARKET REVENUE

	Second Quarter				
	2020*	2019*	Change	Foreign Exchange	Operational ¹
Total International	\$707.3	\$741.9	(5)%	(8)%	3%
Australia	50.8	48.8	4%	(12)%	16%
Brazil	56.3	74.2	(24)%	(26)%	2%
Canada	53.9	53.7	-	(5)%	5%
Chile	25.4	22.0	15%	(8)%	23%
China	66.4	56.0	19%	(5)%	24%
France	23.7	27.1	(13)%	(2)%	(11)%
Germany	40.1	39.1	3%	(2)%	5%
Italy	14.1	27.6	(49)%	(1)%	(48)%
Japan	52.8	41.1	28%	3%	25%
Mexico	25.5	29.9	(15)%	(19)%	4%
Spain	23.9	30.0	(20)%	(1)%	(19)%
United Kingdom	25.5	42.3	(40)%	(4)%	(36)%
Other Developed Markets	90.3	88.1	2%	(6)%	8%
Other Emerging Markets	158.6	162.0	(2)%	(8)%	6%

* Millions of dollars

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

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FINANCIAL GUIDANCE

Selected Line Items (millions of dollars, except per share amounts)	May Guidance	Fx Impact	August Guidance
Revenue <i>Operational growth</i> ¹	\$5,950 to \$6,250 (2%) to 3%	~\$50	\$6,300 to \$6,475 3% to 6%
Adjusted cost of sales as a percentage of revenue ²	30.5% to 31.5%		30% to 31%
Adjusted SG&A expenses ²	\$1,455 to \$1,545	~\$10	\$1,530 to \$1,590
Adjusted R&D expenses ²	\$440 to \$465	~\$2	\$440 to \$465
Adjusted interest expense and other (income) / deductions ²	Approximately \$250		Approximately \$250
Effective tax rate on adjusted income ²	20% to 21%		20% to 21%
Adjusted diluted EPS ²	\$3.17 to \$3.42	~\$0.02	\$3.52 to \$3.68
Adjusted net income ² <i>Operational growth</i> ^{1,3}	\$1,520 to \$1,640 (9%) to (2%)	~\$10	\$1,685 to \$1,765 1% to 5%
Certain significant items and acquisition-related costs ⁴	\$20 to \$30		\$25 to \$35
Reported diluted EPS	\$2.80 to \$3.07	~\$0.02	\$3.14 to \$3.32

The guidance reflects the current view of the estimated full year impact of the COVID-19 outbreak, recessionary conditions in the global economy and foreign exchange currency as of mid-July 2020.

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Adjusted net income and its components and adjusted diluted EPS are defined as reported GAAP net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted interest expense and other (income)/deductions are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure. Effective tax rate on adjusted income (a non-GAAP financial measure) equals the adjusted provision for taxes on income (a non-GAAP financial measure) divided by adjusted income before provision for taxes on income (a non-GAAP financial measure). Adjusted net income and its components, adjusted diluted EPS, and the effective tax rate on adjusted net income, are presented solely to permit investors to more fully understand how management assesses performance.

Adjusted net income and its components and adjusted diluted EPS are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components and diluted EPS.

³We do not provide a reconciliation of forward-looking non-GAAP adjusted net income operational growth to the most directly comparable GAAP reported financial measure because we are unable to calculate with reasonable certainty the foreign exchange impact of unusual gains and losses, acquisition-related expenses, potential future asset impairments and other certain significant items, without unreasonable effort. The foreign exchange impacts of these items are uncertain, depend on various factors, and could have a material impact on GAAP reported results for the guidance period.

⁴Primarily includes certain nonrecurring costs related to acquisitions and other charges.



Q&A

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